

Table 8.3 Cumulative Failure Rates

Maximum Price Rise or Decline (%)	Up Breakout	Down Breakout
5 (breakeven)	98 or 16%	106 or 26%
10	71 or 28%	80 or 46%
15	60 or 38%	67 or 62%
20	56 or 48%	36 or 71%
25	33 or 53%	34 or 80%
30	34 or 59%	25 or 86%
35	26 or 63%	26 or 93%
50	55 or 72%	27 or 99%
75	68 or 84%	4 or 100%
Over 75	98 or 100%	0 or 100%

What does this mean? Trading chart patterns and expecting a huge gain is unrealistic. Large gains happen, sure, but you might want to invest for the long term (buy and hold) or stick to swing trading and nibble off what you can. Keep your expectations realistic.

Table 8.4 shows breakout-related statistics.

Breakout direction. This just in: Broadening bottoms break out upward more often than downward!

Yearly position, performance. I sorted the breakout price into one of three bins, depending on where it was in the yearly high–low price range. The best performance came when the breakout price was near the yearly low. The worst was when it was near the yearly high. That suggests bottom fishing (buy low, sell high) works better for the broadening bottoms than momentum trading (buy high, sell higher).

Throwbacks and pullbacks. The next several rows in the table dissect throwbacks and pullbacks. If you don't know what a throwback or pullback is, ask your mom (or check the Glossary).

Throwbacks happen 69% of the time. Price breaks out upward from a broadening bottom, rises for a week by an average of 6%, and then returns to (or comes close to) the breakout price by day 12.